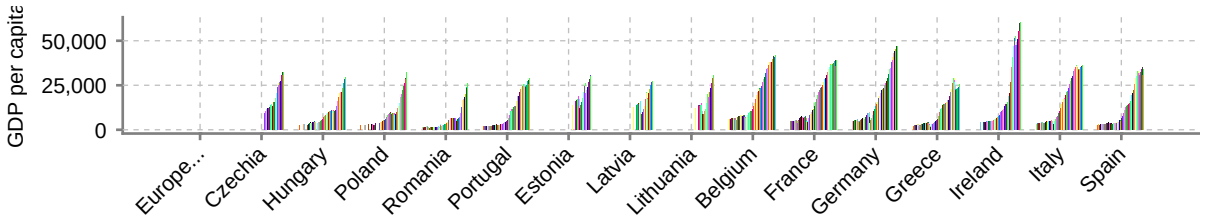
Portugals Economic and Human Development: A Century of Transformation

Introduction

In 1900 Portugal was one of the poorest countries in this comparison. By 2022 it had multiplied its GDP per capita about 14 times, from 2,075 to 28,992 (2011 international dollars), although some other countries progressed faster. This report compares Portugal with three groups of countries (Western Europe, Central/Eastern Europe and the Post-Soviet states) across economic, societal and structural indicators, and uses historical events to explain the main turning points.

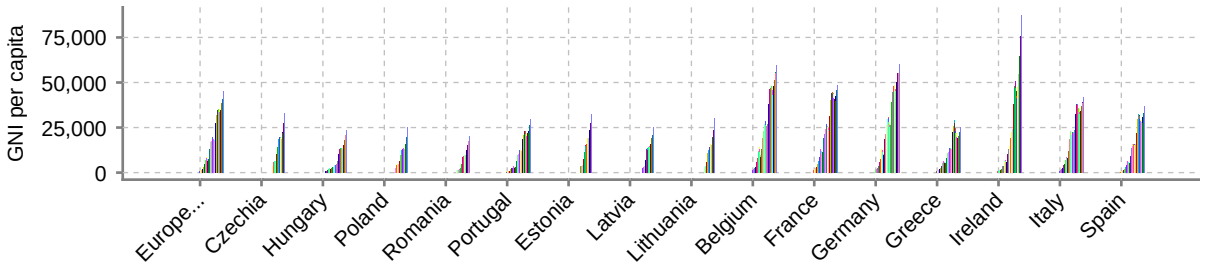
Economic Evolution



Portugals GDP per capita grew slowly and unevenly until the 1940s, fastest between 1950 and 1973, and more slowly after 2000 (Figure 1). Like the rest of Europe, it was hit by shared shocks: WWI, which Portugal joined in 1916; the Great Depression, felt mainly in 19301931; the 1973 oil crisis; the 2008 financial crisis; the 20112013 sovereign debt crisis and Troika bailout; and COVID-19, which caused an 8.4% fall in 2020. Domestic events also mattered. They include state bankruptcy in 1902, the fall of the monarchy in 1910, the 1926 military coup, and the Carnation Revolution of 1974, which together with decolonisation and the 1975 nationalisations caused a 7.5% fall in 1975.

WWII had the opposite effect. Portugal was neutral and profited from supplying tungsten (wolfram) to both sides, while the Western European economies collapsed. Its GDP per capita rose from 46% to 69% of the Western European average between 1940 and 1946. This convergence was short-lived and fell back to 53% by 1958 as the others recovered with the Marshall Plan. Genuine convergence came in two periods. The first was 19591973 (53% to 71%), driven by the Development Plans, EFTA membership in 1960 and the 1972 free trade agreement with the EEC, when the 1960s (+61.2%) and 1970s (+72.2%) recorded the largest decade-level growth. The second was 19851993 (66% to 77.5%), after EEC accession in 1986 and the inflow of structural funds. Euro adoption in 1999 and 2002 did not bring further convergence. The ratio fell to about 67% by 2006 before recovering to about 72% in 2022.

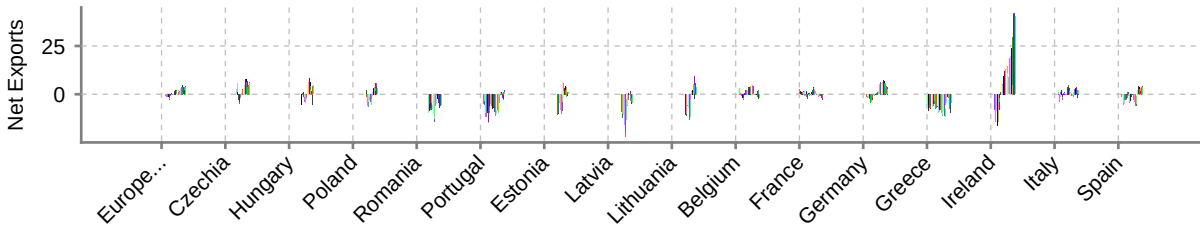
In GDP per capita Portugal remains below France, Germany, Belgium, Ireland, Spain and Italy, and above Greece since 2011. Since 1990 the post-communist countries have caught up quickly, especially after EU accession in 2004. Czechia overtook Portugal around 2008, and Poland, Estonia, Lithuania and Hungary had done so by 2022. In total GDP, Portugals economy is closest in size to Greece, Czechia and Hungary.



In GNI per capita, measured in current US dollars, Portugal (about 25,900 US$ in 2022) sits between Greece and Spain, while Ireland pulls far ahead from 2013. In the East, only Czechia and Estonia are ahead, because GNI does

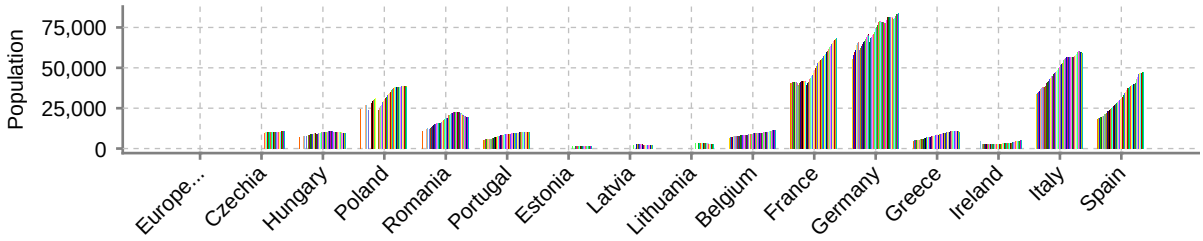
Portugals Economic and Human Development: A Century of Transformation

not adjust for their lower price levels.

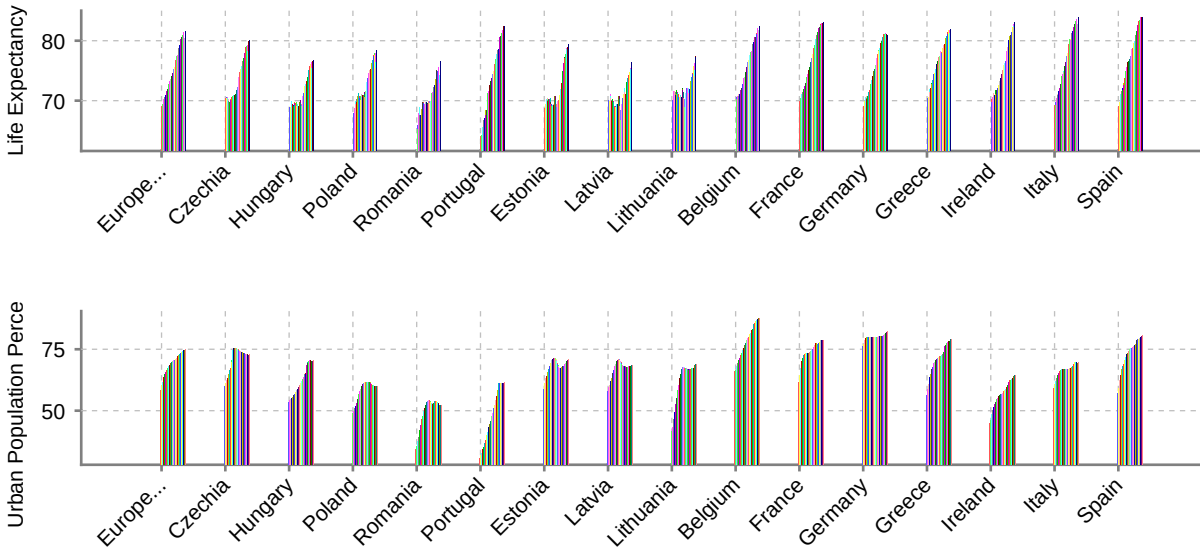


Regarding net exports, Portugal imported significantly more than it exported for decades, with deficits of 711% of GDP until 2012. It moved into a small surplus in 20132019 as austerity reduced imports and tourism exports grew, then returned to deficit when COVID-19 halted tourism. Czechia (from about 2004), Hungary and Estonia (from 2009) and Poland (from 2015) made the same shift to surplus, driven by foreign-owned export manufacturing.

Structural Evolution



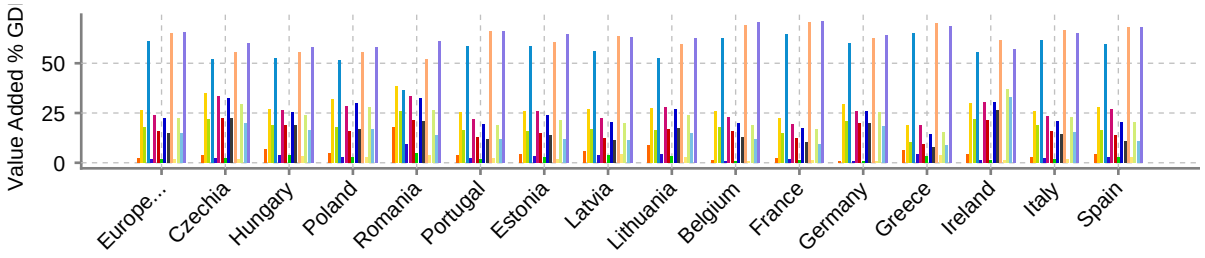
Portugals population grew from about 5.4 million in 1900 to a peak of about 10.6 million around 2010, then declined slightly to about 10.2 million in 2022. Post-communist countries lost far more after their transitions through emigration, with Latvia losing about 29%, Lithuania 24% and Romania 16% since 1990. This loss also inflates their per-capita gains.



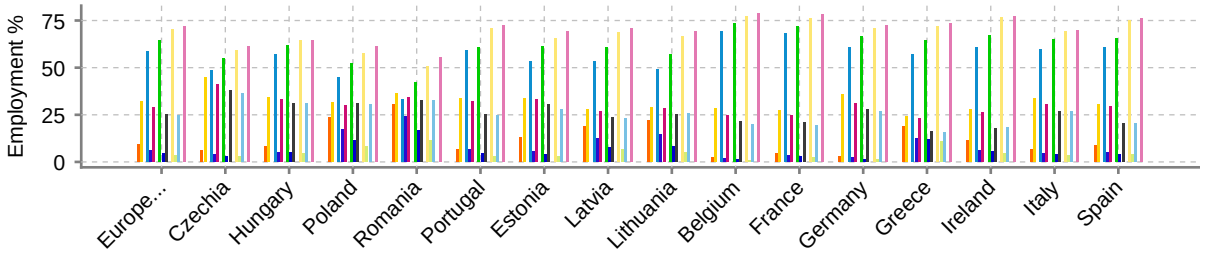
Portugals Economic and Human Development: A Century of Transformation

Life expectancy was Portugals greatest success. It rose from about 64 years in 1960, the lowest of all the countries considered, to 82.3 in 2024. Portugal is now close to the best performers, Italy and Spain, and ahead of Belgium, Greece and Germany, and it has kept the highest value among the Eastern comparison countries since 1990. The urban population share rose steadily from 48% in 1990 to about 61% around 2010 and has since plateaued. It remains lower than in most comparison countries, although national definitions of urban differ.

Structural Evolution



Portugal followed the typical European pattern of structural transformation. Between 1995 and 2025 agriculture fell from 4.8% to 2.0% of value added, industry from 24.8% to 18.2% (manufacturing, which is part of industry, from 15.9% to 11.3%), and services rose from 58.5% to 66.5%. Portugal changed faster than the EU average and now matches it in agriculture and services, but remains less industrial (18.3% vs 22.2%). The trend is shared by almost all countries, with two exceptions: Ireland shifted back towards manufacturing after 2015 because of multinational activity, and Romanias industry share rose again in 20062011. The Central/Eastern countries also remain more industrial (2329%) as a legacy of central planning.



Employment shows the same trend. Agricultures employment share, however, is consistently higher than its value-added share because agricultural productivity is lower.

Several mechanisms explain this shift. Engels law states that as income rises, a smaller share of spending goes to food and goods and a larger share to services. Mechanisation and automation raised productivity in agriculture and manufacturing, so fewer workers produce more and goods become relatively cheaper. Globalisation moved labour-intensive manufacturing to Asia and Eastern Europe, and Portugal lost much of its textile, footwear and heavy industry. Finally, outsourcing reclassified activities such as cleaning, logistics and IT from industry to services. Table 1 summarises these indicators by country group.

Conclusion

Portugals century of transformation is one of strong but incomplete progress. Its GDP per capita grew about 14 times and converged with Western Europe from 54% to 72% of the average, with the strongest gains after opening to European markets through EFTA and the EEC. Since 1990, however, several post-communist economies have overtaken it. Its social progress was more remarkable, taking life expectancy from the lowest in the comparison to among the highest. Its economic structure completed the typical European shift from agriculture and industry to services.

Portugals Economic and Human Development: A Century of Transformation

Average GDP per capita per selected decades

Country	1900	1940	1980	2020
Central/Eastern Europe				
Czechia			12,902.30	31,355.11
Hungary	2,681.00	3,653.43	10,596.60	27,876.41
Poland	2,700.00	3,534.88	8,954.10	30,577.73
Romania	1,425.12	1,593.37	6,536.59	25,700.07
Country Group Average	2,268.71	2,927.22	9,747.40	28,877.33
Focus				
Portugal	1,997.10	2,976.80	13,892.30	27,276.94
Country Group Average	1,997.10	2,976.80	13,892.30	27,276.94
Post-Soviet				
Estonia			16,621.50	29,609.38
Latvia			14,466.50	26,470.66
Lithuania			13,742.10	30,130.73
Country Group Average			14,943.37	28,736.92
Western Europe				
Belgium	6,123.80	7,150.70	24,106.70	40,535.55
France	4,666.30	5,661.70	25,021.90	37,740.55
Germany	4,920.50	7,031.10	23,980.30	45,934.42
Greece	2,395.60	2,530.00	14,777.20	23,594.44
Ireland		4,950.60	14,865.00	57,556.79
Italy	3,533.60	4,295.60	22,593.20	34,478.92
Spain	2,775.69	3,419.56	15,235.05	32,503.65
Country Group Average	4,069.25	5,005.61	20,082.76	38,906.33

Portugals Economic and Human Development: A Century of Transformation

For temporal gaps and missing values for specific countries and years we refer to the following two tables:

Country	Life Expectancy/Urban Population	GDP Growth	GNI per capita	Exports/Imports	Employment	Value Added
Belgium	1960s	1960s	1960s	1970s	1990s	1990s
European Union						
Germany						
Ireland						
Italy						
Portugal						
Spain						
France				1960s	1960s	
Greece						
Hungary			1970s	1990s	1990s	
Czechia		1990s	1990s			
Estonia						
Latvia						
Lithuania						
Poland						
Romania						

Temporal and geographical coverage - indicator starting year (all end in 2024/2025)

Country	All indicators
Belgium	1900
Germany	
Italy	
Portugal	
Spain	
France	
Greece	
Hungary	
Poland	
Romania	
Ireland	1913
Estonia	1970
Czechia	1973
Latvia	
Lithuania	

Temporal and geographical coverage - indicator starting year (all end in 2024/2025)

We also noted that: in Romania theres no GDP data in the periods 1901-1909, 1911-1912 and 1914-1919; Population gap in Estonia, Latvia in Lithuania between 1974 and 1979; Theres no values for employment_pct for manufacturing as it is part of industry; value_added_pct_gdp of agriculture in the EU starts only in 1995 while the other countries starts at 1991.

The WDI long-to-wide pivoting challenge was handled with ease because of the row denormalizer transform.
Maddison doesnt have the European Union aggregate that WDI has.
Because the data isnt very large we didnt encounter serious ETL bottlenecks apart from slight differences in pipeline execution time.
One interesting pattern was when Portugal converged with the Western Europe countries during WWII because of its neutrality and of the fact that it was a tungsten supplier during the war, but it diverged shortly after the war ended as the other countries economy recovered.